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The labour intensive nation will export its labour intensive goods to the capital intensive nation & import capital intensive goods from capital intensive nation.

b). lowering of the value of domestic currency in terms of foreign currencies is called devaluation.

- A country resorts to devaluation when its exports fall short of imports. When devaluation is effected value of the home currency goes down against foreign currency.

→ Devaluation is successful only when other country does not retaliate the same.

→ Successful only when the demand for exports & imports is elastic.

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a) ~~Devaluation~~ Adjustment through Exchange Depreciation.

b) Devaluation or Expenditure Switching policy

1) Direct Measures.

• Adjustment through capital movements.

2) Protection saves jobs

3) Protection to guard against dumping.

• Protection for conserving natural resources

Protection safe guards national security

• Protectionism promotes "keep money at home"

Protection safe guards infant industries.

Protection & revenue.